

necessity. It's an emergency if you put it in the washing machine or drop it in the toilet but can't afford to replace it. Warranties to insure against these events may make sense for those trapped in this cycle, but this is a stressful and expensive way to live.

Building wealth doesn't mean bad things will never happen. It just means you'll be able to deal with more of those things with less stress when they do. When bad things don't happen, as they usually don't, you save by not needing to insure every possible negative event. These savings can then be spent on building and maintaining a better life.

As you build savings, you lessen the need for insurance. Start by attacking items in the lower-right quadrant. Eliminating warranties keeps more money in your pocket. Next, focus on items in the upper-right quadrant. It may make sense to keep these policies because an adverse event can be expensive, but you can start paying less by accepting more risk. Start lowering premiums by purchasing plans with higher deductibles.

As you progress toward FI, investments make up more of your income. Every step you take along the path to FI makes insurance progressively less necessary, allowing you to live more securely while spending less.